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Rules of Engagement

Mapping the Next Phase of China-US Ties

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IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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Tactical détente: The near-term outlook



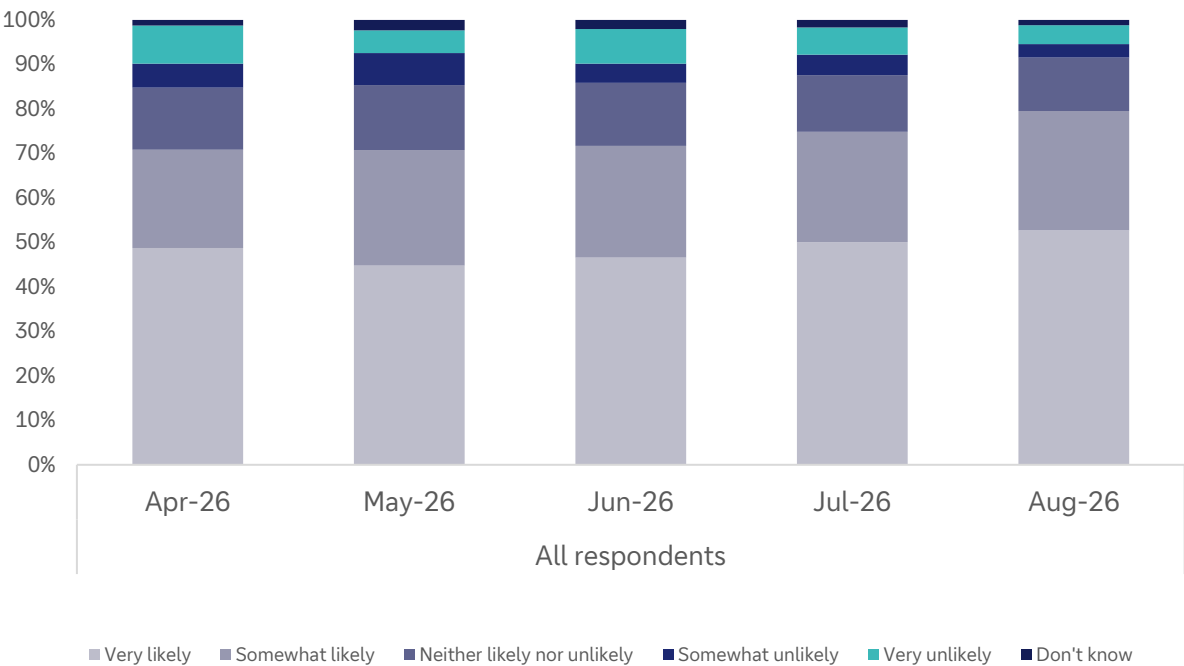
Political commitment and shifting domestic priorities create space for stability into 2027

The Trump-Xi meeting in Washington met our key expectation: It delivered a subdued-yet-constructive summit resulting in a modest number of [concrete deliverables](#) that will minimise the near-term risks of abrupt decoupling, a security crisis, or a disruptive trade war. **This was the best plausible outcome for markets, given the structural nature of China-US competition.** The brief two-month extension of the Busan agreement until 10 Jan 2027 will further delay new tariffs and export controls on both sides. It will also increase pressure to deliver a broader trade and investment package, and further trade-truce extensions, by the end of the year. We anticipate more talks between US Treasury Secretary Scott Bessent and Chinese Vice Premier He Lifeng in Q4 as both sides seek [a larger deal](#).

For China, stability with Washington will likely remain a priority as it manages **rising trade tensions with the EU** and prepares for top leadership reshuffles at its 2027 Party Congress. Combined with shifting US public perceptions of China, these factors **could create near-term space for more dealmaking** on the sidelines of the upcoming APEC (18-19 Nov) and G20 (14-15 Dec) summits. **As our surveys below show, US voters are now more open to increased trade and investment with China, even at the cost of geopolitical concessions**, while **concerns over the cost of living** have intensified. Both trends are now at their highest levels since April.

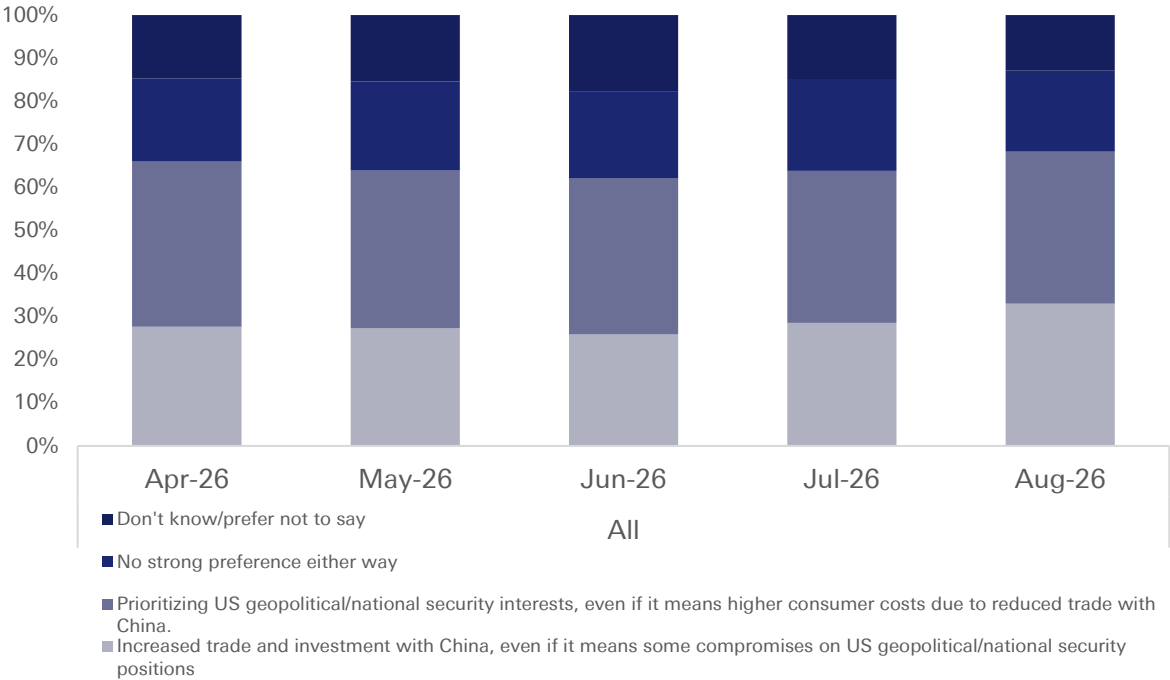
Nevertheless, political guardrails are not a panacea for a relationship that remains characterized by mistrust and competing national security priorities. **As the next slide will show, the outlook for China-US relations becomes more complex beyond this near-term horizon....**

US participants were asked: How likely or unlikely is it that current cost-of-living concern will influence your vote in the midterms?



Source: dbDataInsights. Responses collected April-August 2026 from an Online Nationally Representative sample of ~600 US respondents.

Which of the following outcomes for US relations with China do you most prefer?



Source: dbDataInsights. Responses collected April-August 2026 from an Online Nationally Representative sample of ~600 US respondents.

The policy horizon: Key events to watch (2026–2029)

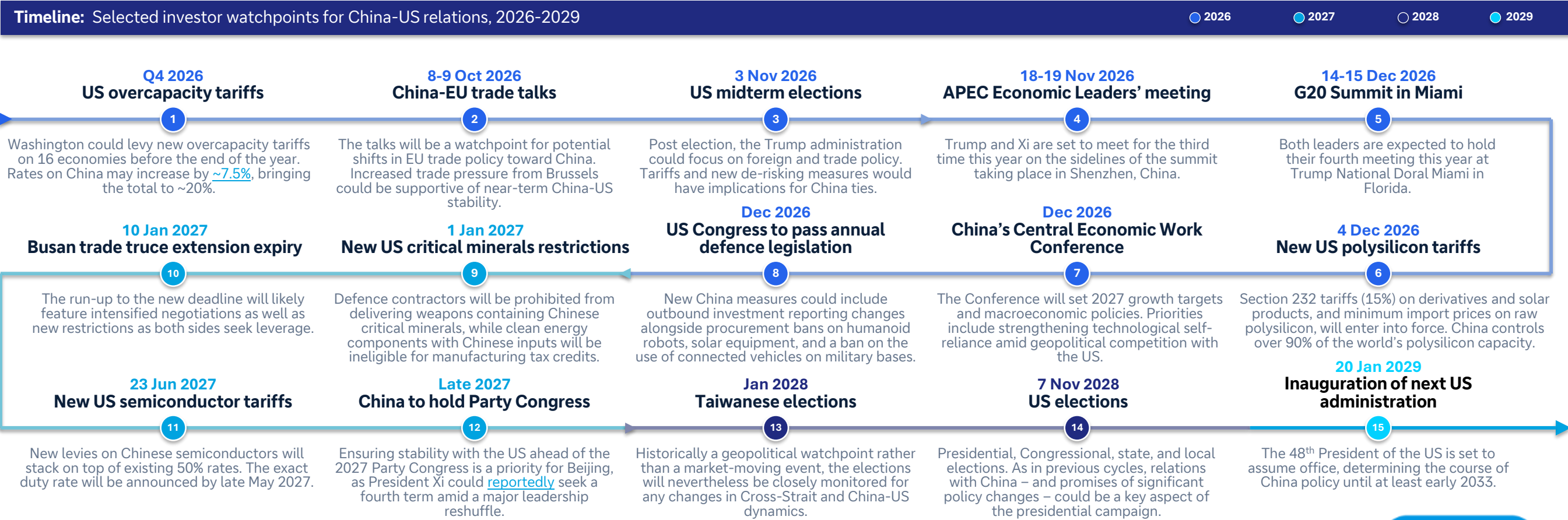
The next several years will see more summits, tariffs, major political events, and key elections



An analysis of the geopolitical calendar reveals a complex slate of tariffs, import curbs, export controls, and sensitive political events. Even as leader-level diplomacy has reduced the risk of a near-term breakdown, it has done little to stem the tide of new bilateral economic restrictions. These have proliferated during 2026 to include new export controls, sanctions, and tariffs (see [list](#)), with significant implications for high-growth industries including drones, AI, electric vehicles, and robotics.

Competition is unlikely to slow, and events could repeatedly test the fragile trade truce. Q4 2026 will see further China-US dialogue and China-EU trade talks. Should talks with Brussels fall short of averting increased European trade pressure, Beijing may further prioritise near-term US stability. But the coming months will also bring challenges in the form of new **US overcapacity tariffs and polysilicon levies**, while next year will usher in **curbs on critical minerals and additional semiconductor tariffs**. The run-up to the **10 Jan Busan truce** expiry could also bring new economic restrictions as both sides seek negotiating leverage. Both countries will also hold major political events (**China's Party Congress in 2027** and **US elections in 2028**), with potential implications for bilateral ties, while **Taiwan's Jan 2028 election** will be another key watchpoint.

But these are just the events whose outcomes and impacts we can estimate in advance. **Understanding probable China-US developments that are not on the calendar is equally important for investors.** We should assume that competitive dynamics across myriad policy issues will drive other developments and policy changes, often announced with little or no advance notice. **We examine some of the key issues in the next slide.**



Structural strains: Testing the guardrails

Navigating the trade, technology, and regional pressure points

Unless consistently managed, structural competition could move markets and test stability through the end of the decade and beyond. We highlight five watchpoints for markets:

1. **The AI race:** Dialogue is set to strengthen AI safety guardrails, but national and economic security imperatives mean it is unlikely to significantly slow the China-US AI race, much less meaningfully reverse existing restrictions. Any attempts to pace AI development would touch on questions of tech restrictions, including Beijing's perceptions of US technological containment, which could increase amid potential restrictions on [remote access to AI chips](#) and Chinese [data centre components](#).
2. **Tariff pressures:** Trade tensions have subsided given a lower US trade deficit and the new Board of Trade, which is set to reduce tariffs on US\$30 billion of non-sensitive goods. But significant [differences](#) persist: Washington plans to unveil new **polysilicon and semiconductor tariffs**, as well as **overcapacity levies** on 16 economies (including China). The US is also seeking to restrict Chinese inputs in North American supply chains and target alleged **transshipment**, while Beijing shores up its supply chain dominance in areas of US import dependence, such as **advanced drone components** and processed **critical minerals** – which continue to be a source of [friction](#).
3. **Regulatory toolkits:** The wider tech sector remains central to expanding export controls and restrictions. China is strengthening its toolkit. Its 2026 codification of **anti-derisking regulations** allows Beijing to penalize companies that comply with foreign sanctions or export controls. Meanwhile, its **outbound investment regulations**, effective 1 Jul, cover technology, data, talent and capital. In the US, Congress is drafting legislation to change outbound investment reporting requirements for **biotech and biopharma**, restrict government procurement of **humanoid robots and solar equipment**, and ban the use of **China-linked connected vehicles** on military installations.
4. **Geopolitical stress-tests:** The **war in Iran** is unlikely to derail relations in the near term, but the conflict has [strained](#) bilateral ties. Any potential broadening of the conflict in scale and intensity, or a further expansion of US [sanctions](#) that impact Chinese interests, could test guardrails. Additionally, while the probability of conflict in the Taiwan Strait remains low, differences over **Taiwan** are set to remain unresolved across successive administrations in both Washington and Beijing into the 2030s and beyond.
5. **Political anchors: Two domestic events will shape relations into the 2030s.** Beijing's priority is stability ahead of the late **2027 Party Congress**. For China, dialogue can help reduce the risk of costly escalation, potentially slow the pace of new US economic restrictions, and buy time for efforts to strengthen self-reliance in strategic sectors such as semiconductors (where China is aiming for **80% self-sufficiency by 2030**).

In the US, a durable bipartisan consensus on China could make visible concessions to Beijing increasingly difficult ahead of the **2028 presidential election**. Recent bipartisan criticism of the Trump administration's decision to allow limited Nvidia H200 chip sales to China reflects the political constraints facing a transactional approach to China, raising the prospect that guardrails will strain closer to election day.



Source: istockphoto

Appendix 1



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